Financial Model & Feasibility (v2)

Re-modeled for the Starter / Host / Pro pricing — June 2026

The new lineup (Starter $15, Host $29, Pro $49, plus 5% Pay-as-you-go) lowers blended revenue per owner. This model re-projects the business on that basis, stress-tests the central risk you flagged — operating expenses outrunning revenue — and recommends strategy changes to keep the business durably profitable.

Verdict: the business is viable and profitable in the base case, but the margin is now **made or broken by one variable: the cost of supporting cross-border owners as the base grows.** Subscription revenue scales with owner count; so does support. To make revenue outrun OpEx you must add revenue that scales with **booking volume (GMV)** — chiefly a modest FX spread and add-on attach — and hold support cost per owner flat with AI-first, nearshore support.

Revised Assumptions

Assumption	Value	Basis
Avg active owners (Y1 / Y2 / Y3)	250 / 2,000 / 7,500	Unchanged from prior plan
Year-end owners	600 / 3,500 / 12,000	Unchanged
Plan mix (PAYG / Starter / Host / Pro)	25% / 50% / 20% / 5%	Beachhead skews to single-home owners → Starter-heavy
Annual value per owner — PAYG	$90	Low-volume by self-selection (<$2,880/yr bookings)
Annual value — Starter / Host / Pro	$180 / $348 / $588	12× monthly
Add-on margin per owner / yr	~$6	Screening/protection attach, modest
Gross margin	76%	After Stripe platform fees, hosting, DocuSeal, AI, email
Avg booking volume (GMV) per owner	~$10,000/yr	Cross-border Baja, higher ADRs (validate in test)

Blended ARPU (the key change)

Plan	Mix	Annual value	Contribution
Pay-as-you-go	25%	$90	$22.50
Starter	50%	$180	$90.00
Host	20%	$348	$69.60
Pro	5%	$588	$29.40
Add-ons	—	—	~$6.00

Blended ARPU	**≈ $218**

> **ARPU dropped from ~$350 to ~$218 — a 38% reduction.** The $15 Starter, expected to be the most-adopted plan in a single-home beachhead, is the main driver. Revenue projections fall proportionally unless we add GMV-linked revenue (below).

Base-Case P&L (subscription/commission only)

Line	Year 1	Year 2	Year 3
Avg active owners	250	2,000	7,500
Blended ARPU	$218	$218	$218
Revenue	**$54,500**	**$436,000**	**$1,635,000**
Gross profit (76%)	$41,420	$331,360	$1,242,600
Operating expenses (Base)	$35,000	$200,000	$650,000
Operating profit	**$6,420**	**$131,360**	**$592,600**
Operating margin	12%	30%	36%

Profitable in the base case, with healthier margins than the $12 Starter produced — but the OpEx line is still the swing factor.

The Core Risk: OpEx vs. Revenue Growth

The earlier solo-founder model assumed ~$11k–$48k OpEx across three years. **That is unrealistic at 12,000 cross-border owners moving money.** Support, disputes/chargebacks, payment ops, and compliance scale with owner count and booking volume. The table below holds revenue constant and varies only OpEx to show how fast the business can flip from healthy to loss-making.

OpEx scenarios → operating profit

	Year 1	Year 2	Year 3
Gross profit (constant)	$41,420	$331,360	$1,242,600
Lean OpEx (AI-deflected support, mostly solo)	$25,000	$90,000	$280,000
→ Operating profit	**$16,420**	**$241,360**	**$962,600**
Base OpEx (small support team + marketing)	$35,000	$200,000	$650,000
→ Operating profit	**$6,420**	**$131,360**	**$592,600**
Stress OpEx (support scales ~linearly w/ owners)	$50,000	$350,000	$1,150,000
→ Operating profit	**($8,580)**	**($18,640)**	**$92,600**

> **The danger is real:** in the Stress case the company is loss-making in Years 1–2 and only marginally profitable (~6%) in Year 3 despite $1.6M of revenue. A cross-border, money-handling product is support-heavy; if each owner generates even a few bilingual support tickets a year and support is staffed linearly, OpEx all but eats the gross profit. The $15 Starter improves this versus $12, but the failure mode is still live — this is what to guard against.

The Fix: Add Revenue That Scales With GMV, Not Owner Count

Subscription/commission revenue and support cost both scale with **owner count**. To make revenue grow *faster* than OpEx, add revenue that scales with **booking volume (GMV)** — it grows with usage while costing almost nothing extra to serve.

Upside case: Base P&L + a 0.75% FX spread

At ~$10,000 GMV per owner and a modest, transparent 0.75% currency-conversion spread (still far cheaper than the 3–4% banks charge):

Line	Year 1	Year 2	Year 3
Subscription/commission revenue	$54,500	$436,000	$1,635,000
FX-spread revenue (0.75% of GMV)	$18,750	$150,000	$562,500
Total revenue	**$73,250**	**$586,000**	**$2,197,500**

Gross profit (76%)	$55,670	$445,360	$1,670,100
Operating profit @ Base OpEx	**$20,670**	**$245,360**	**$1,020,100**
Operating profit @ **Stress** OpEx	**$5,670**	**$95,360**	**$520,100**

> **This is the hedge.** With a GMV-linked revenue line, even the Stress OpEx case stays profitable in every year. FX-spread revenue grows with booking dollars (and with each new high-value Baja booking) — not with the number of support tickets. It structurally protects you against OpEx outrunning revenue.

Pricing Assessment

Plan	Verdict	Note
Starter $15	⚠️ Thinnest margin (improved)	Raised from $12 to $15 to protect the margin. Still the tightest plan — keep AI support deflection on it, and use it as a funnel that upgrades to Host.
Host $29 (up to 5)	✅ Strong value	Arguably underpriced for 5 properties — fine for adoption; capture upside via add-ons + FX rather than a higher fee.
Pro $49 (6–10)	✅ Reasonable	Small segment; not a volume driver.
PAYG 5%	✅ Very generous	vs. Airbnb's ~15.5%. Room to test 6% and still be a dramatic bargain — pure GMV-linked upside.
Add-ons	✅ High-margin, GMV-linked	Drive attach hard; this revenue scales with bookings, not support.

Strategy Recommendations (ranked)

1. **Add a modest, transparent FX spread (~0.5–1%).** The single biggest lever. GMV-linked, high-margin, scales with bookings not support, and still beats banks. Adjust the "all fees at cost" stance for FX only; keep card processing at cost. *(Biggest impact on the OpEx-vs-revenue risk.)*
2. **Make AI the first line of support.** Extend the AI Concierge into bilingual support that deflects >70% of tickets. Support is the cost that scales with owners — AI deflection is what keeps it sublinear. *(Directly attacks the Stress scenario.)*
3. **Tilt revenue toward GMV-linked streams.** Push add-on attach (screening/protection), test a +1pt PAYG take (6%), and consider a small per-booking fee. Revenue then tracks booking volume while OpEx tracks owner count — keep the former growing faster.
4. **Nearshore, variable support.** Use bilingual Mexico-based contract support tied to ticket volume; avoid premature full-time hires. Keep support a variable cost, not a fixed one.
5. **Protect ARPU.** Starter is now set at $15 (raised from $12); default new owners to PAYG and let the crossover pull them up; push annual billing (cash + retention) and upgrades to Host.
6. **Keep CAC near zero.** Lean on owner + guest referral loops inside the tight Baja expat community; let marketing stay sublinear to owner growth.
7. **Instrument the tripwire.** Track **support cost per owner** and **OpEx growth rate vs. revenue growth rate** monthly. Rule of thumb: support cost per owner must trend flat or down. If it rises two months running, fix deflection before adding owners.

> **Net:** the lineup is viable, and the $15 Starter helps, but a Starter-heavy mix still makes subscription revenue alone too thin to comfortably outrun support cost at scale. Adding a small FX spread and add-on attach — both GMV-linked — plus AI-first support is what converts this from "profitable if we're disciplined" to "structurally hard to lose money."

Caveats

- Figures are illustrative planning estimates. The three numbers that most move the outcome — **plan mix, GMV per owner, and support cost per owner** — should be measured in the 30-day owner test and the first live pilot, then fed back into the model (`Familiar_Guest_Financial_Model_v2.xlsx`).
- The FX spread has competitive and trust trade-offs; keep it modest and transparent so it doesn't undercut the "fair, no-markup" positioning.
- Cross-border support load is the largest unknown and the largest risk — treat the Stress OpEx column as a live possibility, not a worst case to ignore.

famguest.com | June 2026